BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

Case 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Gas Supply Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
GAS SUPPLY PANEL
REBUTTAL TESTIMONY

Q. Please state your names.

A. Ivan Kimball, Frank Cuomo, and May Cheng.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. We previously submitted direct testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company") as the Gas Supply Panel ("Panel").

Q. What is the purpose of the Panel's rebuttal testimony?

A. We are responding to the testimony of the following parties:

- Staff Gas Reliability and Supply Panel ("SGRSP") regarding differentiated natural gas;
- Utility Intervention Unit ("UIU") witness John Haff regarding differentiated natural gas; and
- New York Power Authority ("NYPA") Gas Operations Panel regarding operational flow orders ("OFOs").

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

REBUTTAL

Differentiated Natural Gas Pilot Program

Q. What is differentiated natural gas?

A. Differentiated natural gas is natural gas that has been independently verified, by an established third party, to meet specific environmental standards regarding methane loss and the overall impact on greenhouse gas emissions.

Q. Please describe Staff's recommendation related to the Company's ongoing Differentiated Natural Gas Pilot Procurement Program.

A. SGRSP proposes (pp. 139-40) to eliminate this pilot program.

Q. What is the basis for Staff's proposal?

A. SGRSP acknowledges that the program has provided sufficient reporting to the Commission to meet the program's knowledge gathering goals. Staff claims, however, that differentiated natural gas procurement has lacked sufficient emission reduction assurances. Staff argues that inconsistent and variable methods for verifying and calculating the emissions impacts of

differentiated natural gas compared to traditional natural gas purchases raises questions about the benefits to ratepayers from the program. Staff recommends that the Commission permit customers wishing to continue purchasing differentiated natural gas to do so through their direct marketer or energy services company.

Q. Does the Company agree with Staff's proposal to eliminate this program?

A. No, we do not. As recently as last year, in Case 24-G-0061 Staff's Gas Supply and Reliability Panel testimony recommended to the Commission that the Company's affiliate, Orange and Rockland Utilities, Inc. ("O&R"), continue its limited Differentiated Natural Gas program. The Commission subsequently approved the continuation of that program only three months ago in March 2025. This suggests that Staff and the Commission concurred that the continuation of the pilot would be in the best interest of customers and Staff has not described any developments that would explain or justify any change in position.

Furthermore, a continuation the pilot program will allow the gas marketplace to expand offerings and to continue to invest in fugitive methane reduction technologies and practices.

The MiQ website also describes their process and standard followed to verify and calculate the greenhouse gas emissions reductions identified in their provided certificates which includes review by independent, verified auditors. The cost of Carbon Dioxide equivalent emission reduction is significantly lower when compared to other emission reduction strategies. At approximately $40 per metric ton of Carbon Dioxide equivalent emission reduced assuming a global warming potential of 20 years, differentiated natural gas purchases offer a low cost greenhouse gas emission reduction strategy for our firm gas customers.

Q. Please describe UIU's recommendation that the Commission reject the Company's request to continue the Differentiated Natural Gas Pilot Procurement Program.

A. UIU proposes (pp. 3-8) to eliminate this pilot program.

Q. What is the basis for UIU's proposal?

A. UIU claims that the pilot program is structured to incentivize suppliers that are already qualified under these programs and does not incentivize high emitters to reduce emissions. UIU further claims that the pilot program would be self-destructive if it incentivized the highest emitters to reduce emissions because it would result in less differentiation.

Q. Does the Company agree with UIU's proposal to eliminate this program?

A. No, we do not. The pilot program is part of the effort to create a marketplace for this in order to provide an incentive to high emitters should they choose to take steps towards reducing emissions. Expanding these programs to more customers could drive high emitting producers to invest in improved technology, extraction practices, and processes to reduce fugitive methane emissions. The current pilot program provides a path of communication for high emitters who may be

interested in recouping costs in reducing their emissions.

Operational Flow Orders

Q. What is an operational flow order ("OFO")?

A. An OFO is a notice issued by local distribution companies, pipelines or storage operators to protect the operational integrity of the gas pipeline system.

Q. Please describe NYPA's request for greater warnings for operational flow orders.

A. NYPA recommends (p. 18) that the Company provide at least 24-hour notice and that the 24-hour notice should be for the 24 hours preceding the affected gas trading day rather than before the gas operating day. NYPA also recommends that the Company provide detailed explanations to customers with why the OFOs are being called.

Q. What is the basis for NYPA's proposal?

A. NYPA states (p. 14) that each OFO can cause sharp increases in customers' energy costs because the end consumer must ultimately pay the premiums included in the bids to the NYISO market. The OFOs can change

NYPA's bidding strategy and are more likely to do so during periods of high demand for natural gas and that switching from gas to oil has a significant effect on the heat rate.

Q. Does the Company agree with NYPA's proposal?

A. No, we do not. The Company's OFO procedures are out of scope of the rate case and the rate making process.

Q. Does the Company agree with the assertations made by NYPA that the Company appears unwilling or unable to provide specific detail regarding the causes of its frequent OFOs and that the Company merely responded to NYPA's requests for information with language in the Company's Gas Transportation Operating Procedures?

A. No. The Company responded to requests for information with the language from the Gas Transportation Operating Procedures not because it was unwilling to provide specific detail but because that is the standard that the Company follows when issuing OFOs.

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.